

ments, remittances, travel, insurance, e-learning, and healthcare over the past six years. And now, his newly perfected business model, built mostly on the back of acquisitions, is readying to play a meaningful role in the cut-throat financial services industry.

The flamboyant Raina, who is currently engaging with investors across India and globally, is pitching the Noida-headquartered EbixCash's profitable growth narrative (*see interview*). There are some who often compare the company with Paytm and other fintech players. "Our story is all about platforms-as-a-service. This gives us stable recurring revenues," says Raina, without getting into any specifics about rivals. "Ours is a one-stop shop converging financial technologies, travel, and payments, forex and remittances."

THERE ARE BROADLY three business segments: fintech, payment solutions (inward remittances, forex and outward remittances), and travel.

The fintech segment, which is a platform-as-a-service, accounts for 53 per cent of the company's revenues, as of March 31, 2023. Travel, riding on EbixCash platform-as-a-service, brings in 19 per cent, followed by payments and others. Under fintech, there are SaaS-based technology systems for financial institutions in the areas of lending, wealth management, insurance, ticketing, travel technology, etc. These licensed products are sold on a usage basis. "We have India's top banks and NBFCs as our clients," says Raina. Outside India, the company has clients in 60 countries. But there is also competition in each of the businesses. "Be it payments, forex, remittances, travel, etc., there are players, both bank and non-bank, which could give it competition," says a consultant, while adding that there is also disruption from new payment infrastructure rails like UPI and blockchain.

Like they say, the proof of the pudding is in the eating. Raina boasts of customers using his product in their day-to-day lives. For instance, the company offers smart back-end technology solutions to buses across 18 Indian states. "There are 150,000 buses that have deployed EbixCash back-end technology, which helps in online ticketing, monitoring, and data analysis," he says. There appears to be no business model like EbixCash in the listed space. But there is definitely competition segment-wise—banks and NBFCs in the remittances and payments space; Canadian billionaire Prem Watsa's Thomas Cook in the forex market; MakeMyTrip in the tour and travel space; and Pinelabs, Sodexo, etc. in the prepaid cards segment.

According to market experts, EbixCash's current peer group includes publicly traded fintechs such as Paytm and Policybazaar. Paytm's valuation is around six times its revenues, whereas Policybazaar enjoys a valuation of around 10 times its revenues (*see 'Entering the Arena'*). However, unlike its competitors, EbixCash is a profitable venture. Merchant banking sources claim that the correct valuation metrics for EbixCash should be a multiple of Ebitda (earnings before interest, tax, depreciation, and amortisation) and not revenue. In fact, a bulk of the revenue in the peer group in the past was also due to cashbacks and discounts. In 2022-23, EbixCash generated cash flows of ₹810 crore and PAT of ₹748 crore.

"The real logic of the market should always be profitability," says a banker. The fact that EbixCash purchased forex trader Centrum Direct for 35 times Ebitda provides some hints as to the potential pricing of the IPO. This is the kind of price Raina paid while acquiring companies in India. The book runners and lead managers for the issue are ICICI Securities, SBI Caps, Motilal Oswal, Equirus Capital, and YES Securities.

There is actually no selling investor in the IPO. Ebix Singapore Pte, a subsidiary of Ebix Inc., holds 100 per

ON THE MARCH

EbixCash has grown significantly over the years, both organically and inorganically

	FY21	FY22	FY23
Revenues	1,049	1,630	2,456
EBITDA	374	662	886
PAT	230	482	748
ROCE (%)	5.6	10	12.9
EPS (₹/share)	2.5	5.2	7.9

FIGURES IN ₹ CRORE

EBITDA: EARNINGS BEFORE INTEREST, TAX, DEPRECIATION, AND AMORTISATION; **PAT:** PROFIT AFTER TAX; **ROCE:** RETURN ON CAPITAL EMPLOYED; **EPS:** EARNINGS PER SHARE

SOURCE: DRHP